

GlobalTrust Financial Services

Vendor Procurement Policy

Procurement Department

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1. Purpose

This Vendor Procurement Policy establishes governance standards for acquiring goods, services, and technology from third-party vendors at GlobalTrust Financial Services (GTFS). All procurement activities must align with the Annual Budget FY2026 (GTFS-FIN-001) and the Enterprise Risk Management Framework (GTFS-RISK-001).

- **Financial control** — Tiered approval authorities and budget compliance.
- **Vendor quality** — Structured evaluation and ongoing performance management.
- **Risk reduction** — Mandatory vendor risk assessment for critical suppliers.
- **Transparency** — Fair competition with minimum 3 vendor quotations.
- **Regulatory compliance** — Cybersecurity and data privacy per GTFS-SEC-001.
- **Cost optimization** — Value-for-money through competitive sourcing.

IMPORTANT: All purchases must follow this policy regardless of funding source. Splitting orders to circumvent approval thresholds is prohibited.

2. Scope

- All GTFS departments: IT, HR, Finance, Operations, Legal, Compliance, Risk, Marketing, Facilities.
- Third-party vendors, consultants, contractors, and professional service providers.
- All GTFS entities in Singapore, Dubai, Mumbai, and London.
- Covers goods, software, hardware, cloud services, and professional services.

3. Procurement Principles

Principle	Description	GTFS Application
Fair competition	Open and equitable vendor selection	Minimum 3 quotations; formal RFP above SGD 100,000
Transparency	Documented decisions and audit trail	Centralized Contract Repository in Legal Management System
Value for money	Best total cost of ownership	Scoring matrix beyond price alone
Ethical sourcing	Anti-bribery and fair dealing	Annual Conflict of Interest Declaration
Regulatory compliance	Meet banking and data protection requirements	Cybersecurity assessment for technology vendors
Conflict of interest	Disclosure and recusal	Gifts & hospitality limits enforced
Supplier diversity	Inclusive vendor participation	Encourage diverse supplier participation in RFPs

4. Procurement Categories

Category	Examples	Typical Process	Risk Tier
Goods	Office supplies, consumables	RFQ; Department Manager approval	Low
Software	SaaS, licences, ERP modules	RFP; cybersecurity assessment	High
Hardware	Servers, laptops, network equipment	RFP/RFP; asset registration	Medium

Category	Examples	Typical Process	Risk Tier
Professional Services	Legal, audit, advisory	RFP; background checks if critical	Medium–High
Consulting	Strategy, transformation	RFP; Executive approval	Medium
Cloud Services	IaaS, PaaS, SaaS hosting	RFP; mandatory cyber assessment	Critical
Construction	Office fit-out, renovations	Formal tender; insurance required	High
Office Equipment	Furniture, printers	RFQ	Low
Facilities	Cleaning, security, maintenance	RFQ; on-site insurance mandatory	Medium
Marketing Services	Agencies, events, media	RFQ/RFP	Low–Medium

5. Procurement Lifecycle



Procurement Timeline (Standard Process)

Stage	Typical Duration	Owner
Business need to budget approval	3–5 business days	Department Manager
Vendor selection / RFQ	5–10 business days	Procurement
RFP (above SGD 100,000)	15–30 business days	Procurement
Vendor onboarding	10 business days SLA	Procurement + Legal
Contract execution to PO	3–5 business days	Procurement
Contract renewal review	90 days before expiry	Procurement + Legal

6. Vendor Selection Process

Vendor Selection Workflow



Evaluation Criteria	Weight	Assessment Method
Price / TCO	30%	Comparative quotation analysis
Technical capability	25%	Solution demonstration; references
Financial stability	15%	Financial statements; credit check

Evaluation Criteria	Weight	Assessment Method
Cybersecurity	15%	Questionnaire per GTFS-SEC-001; assessment for tech vendors
Compliance & legal	10%	Regulatory licences; data privacy
ESG / sustainability	5%	Environmental and social policies

7. Vendor Risk Assessment

Vendor Risk Assessment is **mandatory for all critical vendors**. Critical vendors undergo review every 6 months; standard vendors are reviewed Annually.

Risk Domain	Assessment Areas	Critical Vendor	Standard Vendor
Financial Stability	Credit rating, liquidity, bankruptcy risk	Full financial review	Questionnaire
Cybersecurity	ISO 27001, penetration testing, data handling	Mandatory assessment (GTFS-SEC-001)	Questionnaire
Regulatory Compliance	Licences, sanctions screening	Full review	Sanctions check
Business Continuity	BCP/DR capabilities (GTFS-BCP-001 alignment)	BCP assessment	Self-certification
Data Privacy	PDPA/GDPR compliance; data residency	Legal review	Privacy questionnaire
Operational Capability	SLA history, capacity, references	Site visit if on-site	References
ESG Considerations	Environmental, social, governance policies	Disclosure review	Optional

Vendor Risk Matrix

Vendor Tier	Examples	Review Frequency	Requirements
Critical	Core banking, cloud hosting, payment providers	Every 6 months	Full risk assessment; background checks; cyber assessment
High	Data processors, KYC providers, major SaaS	Annually	Risk questionnaire; cyber assessment for tech
Medium	Professional services, facilities	Annually	Standard questionnaire; insurance if on-site
Low	Office supplies, non-data vendors	At contract renewal	Basic screening

COMPLIANCE REMINDER: Cybersecurity Assessment is mandatory for all technology vendors. Background Checks are required for critical service providers with access to GTFS systems or data.

8. Approval Matrix

Figure — Procurement Approval Decision Tree



Purchase Value (SGD)	Approver	Additional Requirements
Up to 5,000	Department Manager	Budget confirmation; 3 quotations recommended
5,001 – 25,000	Procurement Manager	Minimum 3 vendor quotations
25,001 – 100,000	Finance Director	Procurement memo; risk assessment if critical
100,001 – 500,000	Chief Financial Officer	RFP mandatory; formal evaluation report
Above 500,000	Executive Committee	Full business case; risk assessment
Above 2 Million	Board Approval	Board paper; competitive tender

Contract Approval Workflow





Vendor Onboarding
Complete within 10 business days SLA

9. Contract Management

Activity	Responsible	Standard	Timeline
Contract Drafting	Legal + Procurement	GTFS standard templates	5 business days
Legal Review	Legal Department	Risk, liability, termination clauses	5 business days
Contract Repository	Legal	Centralized Legal Management System	Same day as execution
Renewals	Procurement	Review 90 days before expiry	90 days before expiry
Amendments	Legal + Procurement	Documented change control	Per amendment value
Termination	Legal + Procurement	Notice per contract terms	Per contract
Performance Reviews	Business owner + Procurement	Quarterly for critical vendors	Quarterly

COMPLIANCE REMINDER: Vendor Record Retention: all procurement and contract records retained for 7 years after contract termination per GTFS-LEGAL-001.

10. Vendor Performance Management

Activity	Frequency	Owner	Output
Vendor Performance Review	Quarterly	Business owner	Performance report
SLA monitoring	Ongoing	Operations	SLA dashboard
Annual vendor evaluation	Annually	Procurement	Vendor scorecard
Critical vendor review	Every 6 months	Procurement + Risk	Risk reassessment
Corrective action	As needed	Procurement	CAP documented and tracked

Vendor Evaluation Scorecard (Sample KPIs)

KPI	Target	Weight	Measurement
SLA compliance	≥ 99%	30%	Monthly SLA report
Incident response time	Per contract SLA	20%	Ticket system metrics
Quality / defect rate	< 1%	20%	Acceptance testing results
Cost performance	Within budget	15%	Invoice vs contract
Relationship / communication	Satisfactory	15%	Business owner rating

11. Procurement Ethics

- **Conflict of Interest** — Annual Conflict of Interest Declaration required for all procurement staff.

- **Gifts & Hospitality** — No gifts exceeding SGD 100; all hospitality pre-approved by manager.
- **Bribery Prevention** — Zero tolerance; report via compliance hotline.
- **Confidentiality** — Vendor bid information restricted to evaluation team.
- **Supplier Fairness** — Equal access to RFP information; no preferential treatment.

CONFLICT OF INTEREST WARNING: Employees must recuse themselves from any procurement decision involving a vendor where a personal or financial relationship exists. Failure to disclose is grounds for disciplinary action.

12. Exceptions

Exception Type	Conditions	Quotation Requirement	Approval
Emergency Procurement	Urgent operational need; documented justification permitted	1 quotation	Department Manager + post-facto CFO if > SGD 100,000
Single Source Procurement	No viable alternative; technical exclusivity	1 quotation with business case	CFO + documented rationale
Regulatory Purchases	Regulator-mandated acquisition	As required by regulator	Compliance + CFO
Technology Emergencies	Critical system failure; security incident	1 quotation; expedited cyber review	CFO
Disaster Recovery Purchases	DRP activation (GTFS-BCP-001)	1 quotation; expedited processing	CFO

BEST PRACTICE: Insurance Coverage is mandatory for vendors providing on-site services. Verify coverage before issuing purchase order.

Procurement Case Studies

Case Study: Software Purchase

Business Need: HR requires applicant tracking system; budget SGD 85,000 approved in GTFS-FIN-001.

Procurement Process: RFQ issued to 4 vendors; scoring matrix applied; cybersecurity assessment completed.

Approvals: Finance Director approval (SGD 25,001–100,000 range).

Risk Assessment: Vendor classified High tier; cyber assessment mandatory per GTFS-SEC-001.

Outcome: Contract signed; vendor onboarded in 8 business days. Quarterly SLA review scheduled.

Lessons Learned: Technology purchases always require cybersecurity assessment regardless of value.

Case Study: Cloud Infrastructure Procurement

Business Need: IT migrating non-production workloads to cloud; contract value SGD 320,000 annually.

Procurement Process: Formal RFP (above SGD 100,000); 3 vendor responses; full risk assessment.

Approvals: CFO approval (SGD 100,001–500,000). Executive Committee notified.

Risk Assessment: Critical vendor tier; 6-month review cycle; BCP alignment per GTFS-BCP-001.

Outcome: Award to preferred vendor; contract in Legal Management System; onboarding in 10 days.

Lessons Learned: Cloud vendors are always Critical tier — plan for 6-month review cycles.

Case Study: Office Expansion

Business Need: Facilities expanding Singapore office; fit-out contract SGD 450,000.

Procurement Process: Formal tender; 3 contractors; construction category procedures.

Approvals: CFO approval. Insurance certificates verified for on-site work.

Risk Assessment: High tier vendor; business continuity and insurance mandatory.

Outcome: Project completed on schedule. Vendor scorecard: 92% SLA compliance.

Lessons Learned: On-site vendors must provide insurance before work commences.

Case Study: Cybersecurity Vendor Selection

Business Need: CISO selecting managed detection and response provider; SGD 180,000.

Procurement Process: RFP with technical evaluation; penetration testing review; background checks on key personnel.

Approvals: CFO approval. CISO and CRO sign-off on risk assessment.

Risk Assessment: Critical vendor; cybersecurity assessment; background checks for critical service providers.

Outcome: Vendor onboarded with 6-month review. Quarterly performance reviews.

Lessons Learned: Security vendors require both cyber assessment and personnel background checks.

Case Study: Emergency Hardware Procurement

Business Need: Core switch failure; network downtime risk. Emergency purchase SGD 35,000.

Procurement Process: Emergency procurement process; 1 quotation from approved vendor.

Approvals: Procurement Manager approval. Post-facto Finance Director notification.

Risk Assessment: Expedited delivery; asset registered; standard warranty terms.

Outcome: Hardware replaced within 24 hours. Post-incident review documented.

Lessons Learned: Emergency procurement permitted with 1 quotation; document justification thoroughly.

Case Study: Single Source Procurement

Business Need: Regulatory reporting software available from single licensed provider; SGD 55,000.

Procurement Process: Single source business case; 1 quotation; regulatory necessity documented.

Approvals: Finance Director + CFO approval for single source exception.

Risk Assessment: Medium tier; annual review; no alternative vendor available.

Outcome: Contract renewed with 90-day pre-expiry review. Vendor scorecard maintained.

Lessons Learned: Single source requires documented business case and CFO approval.

13. Frequently Asked Questions

Q: Who approves purchases up to SGD 5,000?

A: Department Manager Approval.

Q: SGD 5,001–25,000 approval authority?

A: Procurement Manager Approval.

Q: SGD 25,001–100,000 approval authority?

A: Finance Director Approval.

Q: SGD 100,001–500,000 approval authority?

A: Chief Financial Officer Approval.

Q: Above SGD 500,000?

A: Executive Committee Approval.

Q: Above SGD 2 Million?

A: Board Approval.

Q: Minimum vendor quotations?

A: 3 for standard procurement.

Q: Emergency procurement quotations?

A: 1 quotation permitted with documented justification.

Q: When is RFP mandatory?

A: Above SGD 100,000.

Q: Vendor risk assessment requirement?

A: Mandatory for all critical vendors.

Q: Critical vendor review frequency?

A: Every 6 months.

Q: Standard vendor review frequency?

A: Annually.

Q: Vendor performance review frequency?

A: Quarterly.

Q: Purchase order validity?

A: 90 days.

Q: Invoice payment terms?

A: Net 30 days.

Q: Contract renewal review timing?

A: 90 days before expiry.

Q: Cybersecurity assessment for tech vendors?

A: Mandatory for all technology vendors.

Q: Background checks?

A: Required for critical service providers.

Q: Insurance for on-site vendors?

A: Mandatory for vendors providing on-site services.

Q: Vendor record retention?

A: 7 years after contract termination.

Q: Conflict of Interest Declaration frequency?

A: Annual.

Q: Vendor onboarding SLA?

A: 10 business days.

Q: Where are contracts stored?

A: Centralized Legal Management System (Contract Repository).

Q: Can I split a purchase to avoid approval thresholds?

A: No — this is prohibited and may result in disciplinary action.

Q: Where is the annual budget documented?

A: GTFS-FIN-001 Annual Budget FY2026.

14. Appendices

Appendix A — Vendor Evaluation Checklist

- Business need and budget approval documented
- Minimum 3 vendor quotations (or exception approved)
- RFP completed if above SGD 100,000
- Vendor risk assessment completed (critical vendors)
- Cybersecurity assessment (technology vendors)
- Background checks (critical service providers)
- Insurance verified (on-site vendors)
- Legal review and contract in repository
- Approval per authority matrix obtained
- Vendor onboarded within 10 business days SLA

Appendix B — Approval Matrix (Summary)

Refer to Section 8 and Approval Decision Tree for complete matrix.

Appendix C — RFP Template Outline

Section	Content
1. Introduction	GTFS overview; project background
2. Scope of Work	Detailed requirements and deliverables
3. Evaluation Criteria	Scoring matrix and weights
4. Submission Requirements	Format, deadline, contact details
5. Commercial Terms	Pricing template; payment terms (Net 30 days)
6. Legal & Compliance	Data protection; GTFS-SEC-001 requirements
7. Timeline	RFP schedule; decision date; contract start

Appendix D — Vendor Scorecard Template

Category	Score (1–5)	Weight	Comments
SLA compliance	—	30%	Quarterly measurement
Quality	—	20%	Defect / rework rate
Responsiveness	—	20%	Incident handling
Cost	—	15%	Budget adherence
Innovation / value-add	—	15%	Continuous improvement
Overall rating	—	100%	Recommend: Continue / Improve / Exit

Appendix E — Procurement Glossary

Term	Definition
RFQ	Request for Quotation — used for standard purchases
RFP	Request for Proposal — mandatory above SGD 100,000
PO	Purchase Order — valid for 90 days
Critical Vendor	Vendor whose failure would materially impact GTFS operations
TCO	Total Cost of Ownership — includes implementation, support, and exit costs
CAP	Corrective Action Plan — documented remediation for underperformance
COI	Conflict of Interest — Annual Declaration required

Appendix F — Procurement Contacts

Function	Contact
Procurement Helpdesk	procurement@gtfs.internal
Chief Financial Officer	cfo@gtfs.com
Vendor Risk Assessment	vendor-risk@gtfs.internal
Contract Repository (Legal)	contracts@gtfs.internal
Procurement Ethics Hotline	+65 8000 9400

PROCUREMENT TIP: Begin contract renewal review 90 days before expiry to avoid service gaps and leverage competitive tension for better terms.

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